



Our ref: IM-72633

5 September 2024

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Dear Interested Party

Re: ACCC seeking your views: Integral Diagnostics' proposed acquisition of Capitol Health

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Capitol Health Limited (**Capitol Health**) by Integral Diagnostics Limited (**Integral Diagnostics**) (the **Proposed Acquisition**).

Integral Diagnostics and Capitol Health both operate multi-site radiography and radiology clinics in various locations across Australia. Integral Diagnostics and Capitol Health's clinics typically provide general diagnostic imaging services, with some clinics also providing magnetic resonance imaging services (**MRI**) and nuclear medicine services.

Further information on the merger parties and industry background is provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition, particularly in the following geographic regions (together, the **Local Areas of Overlap**):

- greater Western Melbourne/Melton region in Victoria
- Bunbury in Western Australia, and
- Busselton in Western Australia.

In particular, with reference to the Local Areas of Overlap, we are seeking your views on:

- how closely Integral Diagnostics and Capitol Health compete in the supply of (i) general diagnostic imaging, (ii) MRI, and (iii) nuclear medicine services (together, **radiology services**)
- the likely impact on prices, quality, and service levels in the supply of (i) general diagnostic imaging, (ii) MRI, and (iii) nuclear medicine services if the proposed acquisition proceeds, and
- whether customers of Integral Diagnostics and/or Capitol Health would have access to alternative providers (actual and/or potential) if the proposed acquisition proceeds.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **5pm AEST on 19 September 2024** via email to mergers@accc.gov.au with the title: *Submission re: Integral Diagnostics / Capitol Health*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at [ACCC mergers register](#).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. [Our Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely



Morag Bond
General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

Integral Diagnostics

Integral Diagnostics is an ASX-listed company (ASX: IDX) that provides general diagnostic imaging, MRI, and nuclear medicine services across Australia and New Zealand (trading as **Apex Radiology** in Western Australia and **Lake Imaging** and **the X-Ray Group** in Victoria).

Integral Diagnostics currently operates 70 sites across New South Wales, Queensland, Victoria, and Western Australia, including 21 sites in Victoria and six sites in Western Australia.

Capitol Health

Capitol Health is an ASX-listed company (ASX: CAJ) that provides general diagnostic imaging, MRI, and nuclear medicine services in Australia (trading as **Capital Radiology** in Western Australia and **Capital Radiology, Direct Radiology, Future Medical Imaging Group (FMIG), Lime Avenue Radiology, and Imaging @ Olympic Park** in Victoria).

Capitol Health currently operates more than 60 sites across South Australia, Tasmania, Victoria, and Western Australia, including 46 sites in Victoria and 8 sites in Western Australia.

Areas of overlap

Integral Diagnostics and Capitol Health overlap in the supply of general diagnostic imaging services, MRI services, and nuclear medicine services across metropolitan and/or regional locations in Victoria and Western Australia, including:

- general diagnostic imaging, MRI, and nuclear medicine services in the greater metropolitan Melbourne area
- general diagnostic imaging services in the greater metropolitan Perth area
- MRI services in the Fremantle/South Perth area
- general diagnostic imaging, MRI, and nuclear medicine services in Melton, Victoria, and
- general diagnostic imaging services in Bunbury and Busselton, Western Australia.

The Proposed Acquisition

Integral Diagnostics proposes to acquire a 100% shareholding in Capitol Health, following which existing Integral Diagnostics shareholders would indicatively own ~63% and existing Capitol Health shareholders would indicatively own ~37% of the merged entity.

Radiology services

Radiology is a medical specialty that uses medical imaging to both diagnose and treat human injuries and illness, and can be broadly separated into three modalities:

- **general diagnostic imaging** which includes X-Ray, mammography, ultrasound, CT scans, and other basic scans
- **MRIs** which use magnetic field and radio frequencies to develop detailed images of organs and tissues, and

- **nuclear medicine** which uses small amounts of radioactive material to diagnose and treat diseases and conditions.

Attachment B – List of questions

1. Please describe your business or organisation and explain your interest in the Proposed Acquisition, including any commercial relationship(s) with Integral Diagnostics and/or Capitol Health.

Competition in general diagnostic imaging, MRI, and nuclear medicine services

2. How do private radiology providers typically compete with one another? What steps could a provider take to increase the number of referrals it receives?
3. How do private radiology providers typically set prices? To what extent are prices standardised across clinics?
4. Describe how closely Integral Diagnostics competes with Capitol Health in the supply of (i) general diagnostic imaging, (ii) MRI, and (iii) nuclear medicine services in Local Areas of Overlap. Relevant factors may include pricing (including bulk billing practices), location, opening hours of clinics, customers served (e.g. inpatients and outpatients) and the range and quality (e.g. accuracy and speed) of radiology services provided. Please provide specific examples where possible.
5. How far will a patient typically travel to obtain radiology services? How does this differ between different types of radiology services or patient's location? Provide justification where possible.
6. What radiology services are available in each Local Area of Overlap competing with Integral Diagnostics and/or Capitol Health? How do these compare to Integral Diagnostics and/or Capitol Health in terms of price, quality, and service range offered to patients?
7. To what extent do private providers of radiology services compete with public providers of radiology services for outpatient referrals?
8. Please describe any regulatory requirements that would prevent Integral Diagnostics from being able to increase prices or reduce service quality levels post-acquisition? How does this differ between different types of radiology services?
9. We understand that from 1 July 2027, all comprehensive diagnostic imaging practices will have their ineligible MRI machines upgraded to access all Medicare funded MRI services, at which point, all MRI licensing requirements will cease. In your view, is this likely to have a material impact on competitive dynamics in the supply of MRI services? Please provide reasons for your answer.

Barriers to entry and expansion

10. Please describe what is required to enter into or expand in the supply of (i) general diagnostic imaging, (ii) MRI, and (iii) nuclear medicine services. Please address the likelihood of such entry or expansion, including consideration of factors such as:
 - a. timeframe for market entry, including to develop a reputation and referral base
 - b. costs that would be incurred
 - c. regulatory requirements
 - d. scale required to be competitive
 - e. availability of appropriate sites

- f. availability of staff with requisite training and expertise
- g. ability to access to wholesale supply of products
- h. existing reputations and relationships established by incumbent providers, and
- i. examples of recent or failed entry.

Other questions

11. Please provide any additional information or comments, or identify other competition issues, that you consider relevant to the ACCC's consideration of the Proposed Acquisition.